

Notes: Shleifer & Vishny (QJE, 1994)

Politicians and Firms

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1 Big picture

- **Question.** Why are state-owned enterprises inefficient, and when do commercialization and privatization improve restructuring?
- **Core mechanism.** Politicians value excess employment or politically useful firm actions; managers value profits and transfers. Control rights and cash-flow rights determine bargaining threat points.
- **Benchmark.** With frictionless bribes, control and cash-flow rights are irrelevant for real allocation. Politician and manager bargain to the jointly efficient allocation for themselves and split surplus with bribes.
- **Main result.** Ownership matters only when corruption is limited, subsidies are politically or fiscally restricted, or taxpayer/Treasury constraints become active.
- **Policy takeaway.** The best privatization candidates are potentially profitable firms, not necessarily the worst firms, because they are the firms for which private owners resist political overemployment when subsidies are constrained.

2 Incremental contribution of the paper

- The paper brings incomplete-contract control-rights logic into the theory of public enterprises.
- It separates cash-flow rights from control rights, distinguishing state firms, regulated private firms, corporatized firms, and truly private firms.
- It models subsidies as political instruments used to buy politically valuable firm actions.
- It formalizes corruption as a bargaining transfer and shows the irrelevance benchmark under full corruption.
- It introduces the decency constraint, which explains why privatization can produce restructuring only for some firms.
- It links privatization decisions to the relative political strength of spending politicians and taxpayer/Treasury interests.

3 Model primitives and institutional objects

3.1 Players and decisions

There are three conceptual players: the Treasury, the politician, and the manager. The politician receives political benefits $B(L)$ from excess employment or another political action L . The firm pays wage cost wL . The politician can provide transfers/subsidies and may receive or pay bribes b .

3.2 Net transfer and ownership

Let α be private cash-flow ownership. If gross transfer is t , the Treasury's net transfer is

$$T = t - (1 - \alpha)(t - wL) = \alpha t + (1 - \alpha)wL. \quad (1)$$

Interpretation. This formula shows why privatizing cash flows changes the fiscal cost of political employment.

3.3 Utility functions

$$U_p = B(L) - C(T) + b, \quad (2)$$

$$U_m = \alpha(\pi + t - wL) - b = \alpha\pi + T - wL - b. \quad (3)$$

Interpretation. Political benefits are private political rents, not social gains. The manager's payoff depends on cash-flow ownership, net transfers, employment costs, and bribes.

3.4 Institutional taxonomy

- **State firm:** politician controls L and the Treasury owns most cash flows.
- **Regulated private firm:** politician controls L but private owners hold cash-flow rights.
- **Corporatized firm:** manager controls L while the Treasury retains cash-flow rights.
- **Private firm:** manager controls L and private owners hold cash-flow rights.

4 Models and theoretical specifications

4.1 Full corruption benchmark

With bribes, politician and manager maximize their joint surplus. The jointly efficient allocation for the bargaining parties satisfies

$$B'(L) = w, \quad C'(T) = 1.$$

With politician-control disagreement point (L_d, T_d) , the equilibrium bribe is

$$b = \frac{1}{2} \{ [\alpha\pi + T - wL] - [B(L) - C(T) - B(L_d) + C(T_d)] \}. \quad (13)$$

Interpretation. Bribes allow a Coasian bargain between manager and politician. Control and cash-flow rights shift surplus but not real allocation.

4.2 Proposition 1: irrelevance with full corruption

With bribes, resource allocation is independent of α and independent of who controls L .

Interpretation. This result creates the main puzzle: if side payments are frictionless, privatization and corporatization do not change real outcomes.

4.3 No bribes and politician control

When the politician controls L and bribes are unavailable, the politician can use the firm directly to extract political benefits. Privatizing cash flows without depoliticizing control can raise excess employment and reduce transfers.

Interpretation. Privatization with continued regulation may make things worse.

4.4 No bribes and manager control: corporatization

With manager control, the threat point is $L = T = 0$. Manager control generally implies lower L and higher T than politician control.

Interpretation. Corporatization promotes restructuring but can soften the budget constraint.

4.5 Corruption and stabilization

Bribes from managers to politicians raise T and reduce L . Harder budget constraints, represented by higher $C(T)$, reduce subsidies and can force restructuring when bribes are unavailable.

Interpretation. Corruption can buy relief from political control, while stabilization limits the fiscal channel sustaining inefficiency.

4.6 Decency constraint and privatization

The decency constraint is

$$t > 0 \quad \text{if and only if} \quad \alpha\pi + T - wL < K. \quad (17)$$

It rules out politically visible subsidies that would make profitable private owners too rich.

Interpretation. This constraint gives private cash-flow ownership real bite. Profitable manager-controlled firms with high private ownership are more likely to choose restructuring.

5 Identification and theoretical strategy

This is a theoretical paper. Its identification strategy is mechanism isolation: begin with full corruption to show irrelevance, remove bribes to make control rights matter, vary cash-flow ownership while holding control fixed, and then add subsidy restrictions to explain why privatization can matter.

5.1 Key assumptions

- Politicians derive private benefits from political firm actions.
- The public is disorganized and does not bargain for social efficiency.
- Contracts are incomplete, so residual control over L matters.
- Bribes may be illegal, costly, or non-enforceable.
- Subsidies to profitable private owners may be politically indecent.

5.2 Limits

The paper assumes the politician's objective function rather than deriving it from a full electoral model; the decency constraint is plausible but ad hoc; empirical examples are illustrative rather than formal tests.

6 Figures and visual interpretation

6.1 Figure I: Basic bargaining model with threat points and efficient point

Read: Figure I plots transfers T against excess employment L . It shows the manager's individual rationality constraint, the curve $B'(L) = wC'(T)$, threat points under politician and manager control, and the efficient point for the politician-manager bargaining pair.

Interpretation. The figure shows why control rights matter when bribes are limited: they determine the threat point.

Economic message. Managerial control improves the threat point by allowing the manager to refuse political employment demands.

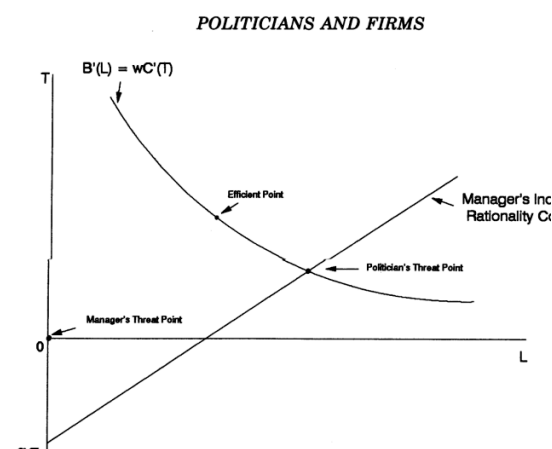


Figure I: Basic bargaining model, threat points, and efficient point

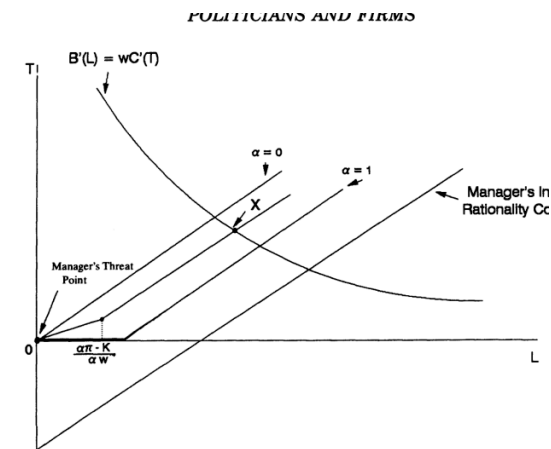


Figure II: Decency constraint and profitable firm restructuring

6.2 Figure II: Decency constraint and the privatization mechanism

Read: Figure II adds the decency constraint. The constraint limits transfers to profitable firms whose managers/private owners would become politically too rich from subsidies.

Interpretation. The figure shows how private ownership makes subsidies politically constrained, forcing profitable firms to reduce excess employment and transfers.

Economic message. Privatization matters when it changes the feasibility of subsidies, especially for potentially profitable firms.

7 Interpretive synthesis

- The primitive distinction is not public versus private, but control rights and cash-flow rights.
- Regulation can undo privatization if politicians retain control.
- Corporatization lowers political overemployment but may increase subsidies.

- Privatization matters when subsidies to profitable private owners are politically constrained.
- Potentially profitable firms are better candidates for privatization than hopeless firms because they are more likely to restructure.

8 Short summary

- The paper models firms as bargaining arenas between politicians and managers.
- Politicians use firms to generate political benefits such as excess employment.
- With full corruption, ownership and control rights are irrelevant for real allocation.
- Without bribes, control rights matter because threat points matter.
- Manager control promotes restructuring but can soften budget constraints.
- Private cash-flow ownership matters under the decency constraint for profitable firms.
- Politicians prefer control, but privatization can occur when taxpayer/Treasury interests are strong and political benefits from control are weak.

9 Conclusion

9.1 Core conclusion

State-enterprise inefficiency is best understood as political influence over firms. Privatization works only when it changes bargaining constraints and limits political subsidies.

9.2 Economic intuition

If politicians can freely subsidize or regulate private firms, ownership transfer alone does not solve the problem. If subsidies are constrained and managers own cash-flow claims, managers prefer profits to political overemployment.

9.3 Final takeaway

Effective reform requires depoliticizing control, hardening budget constraints, limiting subsidies, and giving managers or private owners meaningful cash-flow incentives.